ch01-introduction

Chapter 1 — Introduction

Book: Friberg, *Microeconomics: An Open Introduction* (Routledge, 2026) **Pages:** 1–7

Chapter résumé

A short scene-setter for the whole book. It explains what microeconomics is *for* — analysing how a **scarce** resource gets allocated among competing uses — and why economists do this with **models** (deliberate simplifications) rather than full descriptions of reality. The running example is university admissions: there are many ways to allocate study places (tests, grades, queues, lotteries, prices), each with different consequences for efficiency and equity. The chapter closes by locating micro within economics as a whole (it's the foundation; macro and the applied fields build on it) and by flagging that the book focuses on **theory**, not empirical work.

Key concepts / "modes" to use

- **Scarcity** — the founding assumption: resources are limited, so choices must be made.
- **Opportunity cost** — the value of the next-best use you give up ("no such thing as a free lunch").
- **Models** — simplified representations of decision problems; judged by usefulness, not realism (the *map / stick chart* analogy).
- **Methodological individualism** — build market outcomes up from individuals making *deliberate* choices.
- **Allocation mechanisms** — the different ways a scarce good can be distributed (see §1.1).

Section-by-section main points

1.1 An example to get our minds primed about the role of economics

- University study places are a scarce good. Ways to allocate them:
  - Non-price: aptitude tests, secondary-school grades, open-then-hard-exams, waiting lists, queues, lotteries, social class/legacy.
  - Price-based: everyone pays the same fee (set high enough to clear demand), or auction places to highest bidders.
- Real systems usually **combine** several (e.g. US universities: fees + tests + interviews). Historically, allocation by violence too.
- Each mechanism has different effects on **equity** (who gets in, how tied to parents' income) and on **incentives** (effort in school). Micro gives tools to analyse these trade-offs systematically.

1.2 Economics – *The Wealth of Nations*

- Economics = who gets what, and the rules for how goods are created and divided.
- **Adam Smith**, *The Wealth of Nations* (1776), conventionally marks the start of economics as a field — timed with Europe's shift from self-sufficient farming to market interaction.
- Markets pervade daily life (your breakfast comes from around the world); they're held together by laws, public policy, norms, and trust. This book largely *takes those as given* and focuses on the role of **prices** in directing resources.

1.3 Scarcity – An underlying assumption

- **Scarcity** = resources are limited → choices required.
- Counter-example: air to breathe is *not* scarce, so not an economic question.
- Scarce examples: **time** (~30,000 days in a life), **income**, and aggregate resources (electricity, military spending). Every use crowds out another → **opportunity cost**.

1.4 On the use of models in microeconomics

- The micro approach: assume people make **deliberate choices** and aggregate up.
- Baseline model: individuals **maximize utility** subject to prices, income and preferences; firms **maximize profit** subject to technology and input prices.
- A model must **simplify** to be useful — a 1:1 map is useless. "A model should be as simple as possible, but not simpler" (attrib. Einstein).

1.5 What we do in the book – And what we don't do

- The book focuses on **theory / models**, not empirical estimation — but stresses no real policy question should be decided on theory alone.
- Curriculum arc: how prices & quantities are set on a market → when markets work well → **market failures**.
- Micro is the **foundation** for the rest of economics: macro (whole economy, growth, business cycles, monetary & fiscal policy) and applied fields (public, labour, international economics) build on the same toolkit.

Key terms

Term	Meaning
Scarcity	Resources are limited relative to wants → choices needed
Opportunity cost	Value of the best alternative forgone
Model	Deliberately simplified representation used to predict/analyse
Utility maximization	Consumer's assumed objective, given budget & preferences
Profit maximization	Firm's assumed objective, given technology & input prices
Equity	Fairness of an allocation (who ends up with what)
Allocation mechanism	Rule determining who gets a scarce good (price, lottery, queue…)

Exam pointers

- Be able to *list and compare allocation mechanisms* for a scarce good and discuss their efficiency vs. equity effects.
- Be ready to defend "why economists use models" (usefulness over realism; the map analogy).
- Know the scarcity → choice → opportunity cost chain cold — it recurs throughout.